

Risk and Reward

The term *risky investment* is a bit of a misnomer. The truth is, practically all investments come with some element of risk—and that's not a bad thing. In investing, risk basically refers to the chance of losing your money. If you're scared of the stock market and choose to keep your money in certificates of deposit (CDs) at your local bank, you're taking on a low degree of risk. Chances are, when the CDs mature, you'll be able to get your money back out. Of course, if the banking industry completely collapses or inflation skyrockets while your money is tied up, you *could* lose money, but it's generally safe. On the other hand, if you're a hockey player making a speculative investment in cough-syrup popsicles, you're taking on an extremely high degree of risk. The stars would have to align just right for you to ever get your money back, let alone make a profit.

Where people start to get confused, though, is by thinking that all risk is bad. That's not true at all. Risk is tied to reward. The more risk you take, the more reward you could achieve. The world is full of risks that we take every day. Driving a car is a risk. Going on a roller coaster is a risk. Meeting a stranger for coffee is a risk. Despite all these risks, most of us still manage to get home safe every night. How? It's because we understand the risks, mitigate them as much as possible by taking safety precautions, and accept the risks in return for the rewards we hope to get.

Millionaires understand that risk is something to be managed, not avoided. Being too blind to risk is like jumping out of a plane with no parachute and hoping for the best. But being too scared of risk is like owning a Ferrari and never taking it out of the garage—you never get to fully experience what you've worked so hard for. You'll only make progress toward your goals once you understand how risk-tolerant you are. If you want to see a millionaire who understands risk in every part of life, let me introduce you to Joe.